PAPER – 2: BUSINESS LAWS

QUESTIONS

Indian Regulatory Framework

1. What is the Insolvency and Bankruptcy Board of India (IBBI)? Discuss its establishment, powers, functions and the categories of persons and entities covered under the Insolvency and Bankruptcy Code, 2016.

The Indian Contract Act, 1872

2. Mr. Sharma, a trader, wrote to Mr. Verma offering to sell him 100 barrels of "oil" at ₹ 5,000 per barrel. The letter reached Verma on 1st June. On 2nd June, Sharma posted another letter revoking the offer. However, before receiving the revocation, Verma posted a letter of acceptance on 3rd June. Sharma's letter of revocation reached Verma on 4th June. When Verma later demanded delivery, Sharma refused, stating that the contract was void since he had not specified which kind of oil was being offered (mustard, groundnut, or refined), and further claimed that he had no oil stock at all. Verma sued for breach of contract, insisting that valid acceptance had already been communicated. Sharma defended himself by stating that the contract was void for uncertainty and impossibility.

   Examine the relevant provisions of the Indian Contract Act, 1872, and decide whether a binding contract was created between Sharma and Verma and whether Sharma is liable for damages.

3. Mr. Das, a landowner, transferred his property to his daughter, Geeta, on the condition that she would pay ₹ 20,000 annually to her maternal uncle, Mr. Gopal. Geeta accepted the property but later failed to pay the annuity. Mr. Gopal sued Geeta for recovery. Geeta argued that since

Gopal was not a party to the agreement, he had no right to sue. Gopal contended that the consideration had moved from Das on his behalf and that he was entitled to enforce the promise.

Examine whether Mr. Gopal can recover the annuity under the Indian Contract Act, 1872.

4. Mr. Sen, an elderly widower, executed a gift deed transferring his valuable house to his nephew, Kashish. Subsequently, it was discovered that Kashish had threatened Mr. Sen that, unless the property was gifted to him, he would file a false criminal complaint of harassment against him. Further, Kashish, being Mr. Sen's sole caretaker, emotionally influenced him into believing that transferring the property would guarantee him lifelong care and affection.

   Mr. Sen now seeks to set aside the transaction. Examine whether the gift deed is valid under the Indian Contract Act, 1872.

5. Mr. Rohan entered into a contract with Mr. Sohan to deliver 1,000 bags of cement to his construction site on or before 15th August. The payment was to be made immediately upon delivery. However, Rohan failed to deliver the cement by the stipulated date. On 25th August, Rohan offered to deliver the goods, but by that time, the delay had caused disruption to the construction schedule, resulting in Sohan losing a contract with a government department.

   Sohan refused to accept the delayed delivery and filed a suit for damages. Rohan contended that the delay was minor and argued that Sohan was obligated to accept the goods. Examine the rights and liabilities of the parties under the Indian Contract Act, 1872.

6. Mr. Ramesh delivered his gold ornaments to a jeweller, Mr. Arun, for polishing. Arun kept the ornaments in the locker of his shop and locked the premises before leaving. Unfortunately, during the night, thieves broke into the shop and stole the ornaments. When Ramesh asked for the return of his ornaments, Arun expressed his inability to do so and stated that he had taken as much care of the goods as he would have taken of his own property. Ramesh, however, claimed compensation for the loss on the ground that the ornaments had been delivered under a contract of bailment and that the bailee was bound to return them.

Decide, under the Indian Contract Act, 1872, whether Arun is liable to compensate Ramesh.

7. Mr. VG and Mr. PG were trading in unlisted shares for the last seven years. They used to borrow funds from each other whenever required for any trade. Within a week's time, they used to refund the money to each other as per circumstances of the case. They were following this practice for the last five years. On 25th January 2025, Mr. PG wants to buy 20,000 shares of an unlisted company @ ₹ 500/- each. But due to insufficiency of funds, he asked Mr. VG for ₹ 40 lakhs. Mr. VG transferred ₹ 40 lakhs to Mr. PG. After about three months, Mr. VG reminded that Mr. PG had not refunded ₹ 40 lakhs to him till then. He asked him to pay back his money. Mr. PG told him that he was trying very hard to sell the shares at a reasonable price of 10% more than the price at which he bought these shares but was unable to do so due to market conditions. He asked Mr. VG to sell his shares on his behalf and authorised him to appropriate the amount of loan of ₹ 40 lakhs with interest out of the sale proceeds. Mr. VG agreed to do so.

   After about 15 days, when market started recovering Mr. PG denied and revoked the authorization by saying that he would sell his shares himself.

   With reference to provisions of the Indian Contract Act, 1872, whether the revocation of said agency by Mr. PG was lawful?

8. "Distinguish between a Contract of Indemnity and a Contract of Guarantee. Explain the points of distinction with reference to the Indian Contract Act, 1872."

9. Wagering agreements are void under Section 30 of the Indian Contract Act, 1872. However, certain transactions resemble wagering transactions but are valid in the eyes of law. Discuss such transactions.

The Sale of Goods Act, 1930

10. Mr. Rohit, a trader, entered into a contract with Mr. Mohan for the purchase of 100 chairs for a total consideration of ₹ 1,00,000. The agreement expressly provided that ownership of the goods would pass to Rohit immediately, while the price was to be paid in two equal

instalments within 30 days. The goods were duly delivered in accordance with the contract.

However, when the second instalment became due, Rohit defaulted in payment and contended that since a part of the price remained unpaid, the transaction amounted only to an agreement to sell and not a completed sale. On this basis, he refused to pay the balance amount. Examine the legal validity of Rohit's contention with reference to the Sale of Goods Act, 1930.

11. Mr. Sameer, a retail shopkeeper, purchased 10 cartons of packaged fruit juice bottles from Fresh Foods Ltd., a reputed beverage dealer. The cartons were sealed and appeared to be in good condition, and therefore Sameer accepted them without objection. Subsequently, when the bottles were sold to customers, it was discovered that several of them were contaminated with fungus. A few customers even fell ill after consuming the juice, compelling Sameer to issue refunds and causing significant reputational damage to his business.

    When Sameer demanded a refund and compensation from Fresh Foods Ltd., the seller refused, contending that the goods had been sealed and were accepted by him at the time of delivery. Examine whether Sameer can succeed in his claim under the Sale of Goods Act, 1930.

12. A government department conducted an auction of used vehicles. Mr. Suresh bid for a truck at ₹5,00,000. Before the auctioneer's hammer fell, Suresh tried to withdraw his bid, but the auctioneer refused. Later, the auctioneer also bid through his agent without prior notice to the bidders. Another bidder, Mr. Akash, complained that the auction was not fairly conducted. Decide, with reference to the Sale of Goods Act, 1930, whether the auction sale is valid.

13. What is meant by Reservation of Right of Disposal? Explain the circumstances under which the seller is deemed to have reserved this right under the Sale of Goods Act, 1930.

14. "What is meant by the doctrine of Caveat Emptor? State the conditions for its applicability and discuss the exceptions to this doctrine under the Sale of Goods Act, 1930."

The Indian Partnership Act, 1932

15. A, B and C are partners in an unregistered partnership firm named M/s ABC & Associates. Is the suit maintainable in the following cases as per the provisions of the Indian Partnership Act, 1932? Give justification also.

    (i) A filed a suit against B who had stolen the goods of the firm.

    (ii) A filed a suit against M/s ABC & Associates for claiming shares of the assets on its dissolution.

    (iii) M filed a suit against the firm M/s ABC & Associates for the recovery of ₹ 10,000/- dues from the firm. M also owed ₹ 4,000/-to the firm. The firm claimed a set off of ₹ 4,000/-.

16. M/s LMP & Associates, a partnership firm engaged in carpet manufacturing and exporting, was initially managed by senior partners L, M, and P. On 25th August, 2022, the firm admitted Mr. G, an expert in carpet manufacturing, as a partner. However, on 10th January, 2024, Mr. G was accused of unauthorized activities and subsequently expelled from the partnership with the unanimous approval of the remaining partners.

    With reference to the provisions of the Indian Partnership Act, 1932, answer each of the following:

    (i) Examine whether action by the partners was justified or not?

    (ii) What are the factors which should be kept in mind prior to expelling a partner from the firm by other partners?

17. Describe the following kinds of partnership with reference to the Indian Partnership Act, 1932:

    (a) Partnership at will

    (b) Partnership for a fixed period

    (c) Particular partnership

    (d) General partnership.

The Limited Liability Partnership Act, 2008

18. Explain the following features of a Limited Liability Partnership under the LLP Act, 2008:

    (a) Artificial legal person

    (b) Common seal.

The Companies Act, 2013

19. Mr. Ramesh Saluja incorporated a private limited company under the name Saluja & Sons Pvt. Ltd., with himself, his wife, and his children as shareholders. The newly formed company took over his existing leather business and continued its operations.

    Subsequently, the company went into liquidation. The creditors contended that the company was merely a façade or alter ego of Mr. Saluja and that it lacked an independent existence. On this basis, they argued that the corporate veil should be lifted and Mr. Saluja should be held personally liable for the company's debts. With reference to the relevant case law on lifting of the corporate veil, examine whether Mr. Saluja can be held personally liable.

20. A company, ABC limited as on 31.03.2025 had a paid-up capital of ₹ 1 lakh (10,000 equity shares of ₹ 10 each). In June 2025, ABC limited had issued additional 10,000 equity shares of ₹ 10 each which was fully subscribed. Out of 10,000 shares, 5,000 of these shares were issued to XYZ private limited company. XYZ is a holding company of PQR private limited by having control over the composition of its board of directors.

    Now, PQR private limited claims the status of being a subsidiary of ABC limited as being a subsidiary of its subsidiary i.e. XYZ private limited. Examine the validity of the claim of PQR private limited.

    State the relationship if any, between ABC limited & XYZ private limited as per the provisions of the Companies Act, 2013.

21. Do you agree that a company is an artificial person? Elucidate. Also explain how the authorization by Beeta Limited, a company incorporated under the Companies Act, 2013 can be made in case it does not have a common seal.

The Negotiable Instruments Act, 1881

22. Referring to the provisions of the Negotiable Instruments Act, 1881, answer the following in the given scenario:

    (i) Aman drew the bill of exchange (the bill) on Baban, who accepted it, payable to Magan or order. Magan indorsed the bill to Gagan. Gagan indorsed the bill to Akash to be delivered to him on the next day. However, on the death of Gagan on the same day, his only son Ankit delivered the bill to Akash on the next day as intended by his deceased father. On presenting the bill on the due date, Baban refused to pay. Explaining the importance of delivery in negotiation, decide, whether Akash can enforce the payment of the bill against Baban or the previous parties.

    (ii) Reliable Limited, an Indian company, is a global leader in Petrochemical products. For payment of the sale price of machinery imported from Alex Manufacturing Limited, a USA based company (the exporter), the Indian company drew a bill of exchange on Manish, a resident of Mumbai (India) who accepted the bill at Mumbai payable to the exporter in Los Angeles, USA. Decide, whether the bill of exchange is an inland instrument or a foreign instrument. Assume that the bill of exchange was signed by the authorised person for the drawer company.

23. A promissory note, payable at a certain period after sight, must be presented to the maker thereof for payment. Under which scenarios presentment for payment is not necessary and the instrument is dishonoured at the due date for presentment according to the provisions of the Negotiable Instruments Act, 1881?